

**BAKER
HUGHES**

Rpt Date 23/Aug/2006				Well Name/No Bilabri D 2				Section Name/No 12.25" pilot section #4				Mud System SYN-TEQ (PARA)							
Job# 1		Spud Date 05/Jul/2006				MD 2863.00 m				Progress 210.00 m				Present Activity Drilling Formation					
Operator Peak Petroleum Indust. Limited				Company Rep James Blackmon/Peter Vermeulen				Contractor Dolphin Drilling Ltd				Contractor Rep Ally Tough /Terry Nanidis.							
Field/Lease Bilabri				Blk/Co/Parish OML - 122 / Nigeria				Area Offshore				Country/State Nigeria				Rig BULFORD DOLPHIN			
Drilling Assembly						Casing			Volumes		Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min		
12 1/4		HCC		PDC			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	80	401		
Drill Collars			Drill Pipe			13 3/8	12.415	1622.00	1442.5	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	76	381		
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2863.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
9 1/2	2.800	18.26	5	4.276	2648.44				369										
8 1/2	2.800	29.09	5	3	166.87				Tot Active										
									1811.5	Circulation Times									
									In Storage	Surface to Bit		8.6 min/1342stks				Total System 97.2 min/15167stks			
									351	Bottoms Up		68.8 min/10735stks							
Mud Properties								Max Ann Velocity			Hole Information								
Property		1	2	3	4	AV Riser		53.99 ft/min		Standpipe Pressure		3370 psi		Water Depth 152.00 m					
Sample From		Reserve	Active Pit	Flow Line	Active Pit	AV Casing		148.53 ft/min		Hole Flow		783 USgal/min		Riser Booster Rate USgal/min					
Check Time		07:45	10:00	14:35	23:00	AV Open Hole		320.67 ft/min		Solids Analysis									
MD m		2731.00	2751.00	2780.00	2863.00	Vc Open Hole		494.50 ft/min		Property		1	2	3	4				
TVD m		2413.00	2422.00	2460.00	2532.00	Vc Drill Pipe		410.81 ft/min		LGS %		5.28	9.01	10.12	9.04				
Bit Depth m		2731.00	2751.00	2780.00	2863.00	Min Ann Velocity			LGS lb/bbl		48.10	82.14	92.27	82.42					
Inc deg				32.99	24.98	AV Riser		53.99 ft/min		HGS %		6.06	4.03	3.65	4.18				
Density ppg		10.00	10.10	10.10	10.10	AV Casing		148.53 ft/min		HGS lb/bbl		89.18	59.36	53.72	61.59				
Funnel Visc. sec/quart		50.0	80.0	68.0	73.0	AV Open Hole		153.36 ft/min		Avg Dens Sol sg		3.4550	3.0945	3.0239	3.1061				
Flow Line Temp degF			155.0	162.0	163.0	Bit Information													
Test Temp degF		98.0	136.0	162.0	134.0	Size		12 1/4 in											
Rheol Temp degF		120.0	120.0	120.0	120.0	Hours On Bit													
PV cP		23	33	30	36	Bit Number													
YP lbf/100ft^2		15	34	36	34	BHA Number		5		Rheology									
10sec Gel lbf/100ft^2		6	13	15	15	Depth In		m		600 RPM	61	100	96	106					
10min Gel lbf/100ft^2		8	27	29	28	Bit RPM				300 RPM	38	67	66	70					
HTHP Filtrate cc		4.0	3.2	3.2	3.2	WOB		klbf		200 RPM	25	53	53	57					
HTHP Cake in/32		2.0	2.0	2.0	2.0	Nozzles		7x16		100 RPM	19	37	37	40					
HTHP Temp degF		250.0	250.0	250.0	250.0	Bit Hydraulics			6 RPM		8	14	14	15					
HTHP Pressure psi		500	500	500	500	TFA		1.3744 in^2		3 RPM	7	13	12	14					
Retort Water %		17.0	20.0	19.5	19.5	Nozzle Vel		182.7 ft/sec											
Retort Base Fluid %		70.0	65.0	65.0	65.5	Bit Press Loss		301 psi											
Retort Solids %		13.0	15.0	15.5	15.0	HHP / Area		1.18 HP/in^2		Hydraulic Analysis									
Corrected Solids %		11.3	13.0	13.8	13.2	HHP		13.0 %		Behavior Index (n) 0.321									
Oil:Water Ratio		80:20	76:24	77:23	77:23					Consistency Index (k) 7.585 #sec^n/100ft^2									
Alk (Whole Mud-POM) cc/cc		0.70	0.80	1.00	1.20					ECD @ Bit Depth 10.39 ppg									
Cl (Whole Mud-Clom) cc/cc		40000	47000	42000	43000					ECD @ Casing Shoe 10.35 ppg									
Ca (Whole Mud-Caom) cc/cc		0	0	0	0	Fluid Comments/ Recommendations													
Excess Lime lb/bbl		0.9	1.0	1.3	1.6	Continued to add Base Oil into active mud for dilution. Bled CaCl2 solution into active to maintain CaCl2 % by wt and treated active mud with lime to maintain excess lime. Dressed all shakers with 175 mesh screen.													
Brine Density sg		1.25	1.25	1.23	1.23														
NaCl % wt		0	0	0	0														
CaCl2 % wt		27	27	25	26														
Elect. Stab.V		445.0	587.0	574.0	581.0														
Sand %					0.30														
Drilling Comments																			
Drilling ahead 12-1/4" Hole Section to 2863 m at 23:00hrs.																			
BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 1			
Billy Oguguvwe/ Kunle Olayinka		234-803-402-0440		Onne		234-84-462609		Lawson Ogaree		29740.12 USD		1224661.50 USD		480699.65 USD					
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.																			

**BAKER
HUGHES**

Rpt Date 23/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 05/Jul/2006		MD 2863.00 m		Progress 210.00 m		Present Activity Drilling Formation
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough /Terry Nanidis.
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria
							Rig BULFORD DOLPHIN

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	25.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	25.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 175	20.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	70	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume	2165.5	Riser w/o Pipe	215.7
Brine		Water	30	Cased Off		Trip Losses		Daily Additions	126.4	Casing w/o Pipe	709.3
Base Fluid	91	Product	5.4	Left In Hole		Injected		Daily Losses	129	Open Hole w/o Pipe	593.5
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2162.9	String Displacement	76.1
				SCE	70	Onshore Disposal		Net Change	-2.6	String Capacity	160.3
				Evaporation	38	Returned				Total Hole w/ Pipe	1442.5
				Other Losses	21					Total Active	1811.5
										Total Reserve	351.0

Circulate	3.5	Drilling Formation	18	Tripping	0.5	Miscellaneous	2
------------------	-----	---------------------------	----	-----------------	-----	----------------------	---

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	28840.12	Daily Product Cost	0.00	Primary Product	1177411.50
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	47250.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	29740.12	Total Daily Cost	0.00	Primary Total	1224661.50
Total Inventory Value	480699.65	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	393.81 UK ton

Products and Services														
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk														
BARITE - Imported	1000 kg	258						258	540.00				0.08	0.11
Oil Based Product														
CARBO-GEL	25 kg	200						200	264.28				5.15	8.47
MIL-LIME	25 kg	200					40	160	34.25		1370.00		6.07	1.94
OMNI-COTE	55 USgal	8						8	2150.00					
OMNI-MUL	55 USgal	20					2	18	995.06		1990.12		3.22	0.88
OMNI-PLEX	55 USgal	17						17	1618.95				2.94	3.23
OMNI-TEC	55 USgal	20						20	923.00				0.66	0.05
PARA-TEQ	1 bbl	614					91	523	280.00		25480.00			
SA 58	50 lb								97.10					
Water Based Product														
CALCIUM CHLORIDE (97%)	50 lb	40						40	21.00				7.81	1.88
CAUSTIC SODA	25 kg	17						17	37.89				0.04	0.05
POTASSIUM CHLORIDE BRINE	1 bbl	189						189	46.85				52.05	68.27
XANTHANGUM D	25 kg	40						40	345.22				0.26	0.35
LCM														
CALCIUM CARBONATE - FINE	25 kg	200						200	21.68				0.01	0.01
CALCIUM CARBONATE - MED	25 kg	220						220	21.68				0.04	0.05
KWIKSEAL - MEDIUM	50 lb	39						39	70.52				0.03	0.04
MIL-PLUG FINE	50 lb	84						84	27.01					
MIL-SEAL MEDIUM	50 lb	90						90	36.00					
SOLUFLAKE F	50 lb	158						158	57.24					
SOLUFLAKE M	50 lb	80						80	57.24					
Other														
SAW DUST	25 kg	30						30	12.50					

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.